

margins, commissions, and transaction costs. Indeed, the options exchange, which is the only other place an investor can buy similar investment crash protection, often charges five to ten times that number during periods of market stress (volatility).

As I mentioned earlier, in addition to offering a hedge against the sequence of returns in retirement, innovative riders such as the GMWB for life and GMIB can implicitly serve as longevity insurance. This represents a solution for those retirees who are not comfortable with the irreversibility of annuitization and for those affected by the gradual “extinction” of defined benefit pension plans. Of course, this represents a challenge to the insurance companies offering the guarantee given that they are assuming more longevity risk—a risk that most defined benefit pension plans are running away from in droves.

In sum, more than two trillion dollars is sitting in VA policies. Many are still old-style VA policies whose guarantees are (still) worth no more than a few basis points of assets. But the rest of this money is allocated to VA policies with valuable living benefit options that might end up presenting a challenge to their issuers for many years to come. Note that I am not necessarily advocating that insurance companies act in tandem to increase the fees on these riders, and I don’t think the U.S. Justice Department would take lightly to such a suggestion either. Rather, that in this living benefits arms race, it will become more important than ever before for these issuers to implement adequate hedging strategies in the case that interest rates decline or longevity increases far more than expected. This will directly impact their ability to honor their promises and guarantees down the road. One thing is for sure: This type of insurance is worthwhile.

At the absolute least, take a close and careful look at Figure 9.4 so that you can identify the type of annuity you are considering. There is an entire universe of products and strategies with the word *annuity* in the title. Some of them have very little to do with the annuity’s longevity insurance concept I described previously.